

Independent euro weakness is the dominant story in FX markets as investors adjust positions for French fiscal risk. With the ECB tightening cycle far more vulnerable to repricing than the Fed's, EUR/USD looks set to remain under pressure. Elsewhere, Brazilian asset markets are expected to rally today after Sunday's election results

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↑ USD: Dollar holds gains

DXY dollar index is pushing smartly to new highs of the year. It is being propelled by the sell-off in the euro, which represents 58% of the DXY basket. 102.85 would seem to be the next upside target here.

Friday's [softish September jobs data](#) failed to materially dent prospects for the dollar. Instead, it seems the market is pretty comfortable pricing in unchanged Fed policy at the late October meeting and then a hike at the December meeting. In terms of how

this week will play out for short-dated US rates, the focus will probably be on today's ISM services data and then the release of the FOMC minutes on Wednesday evening. Both look positive for the dollar, with the latter providing some colour on why so many Fed members were forecasting a second Fed hike this year in their Dot Plot submissions.

Core support for the dollar should continue to come from the fact that expectations for the monetary policy tightening cycle remain far more resilient for the Fed than for overseas central banks – especially the ECB. Since late September, 30bp has been removed from the ECB's expected tightening cycle compared to just 13bp for

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something my colleague Francesco Pesole [warned about last Thursday](#). We stick with our [1.1100/1120 EUR/USD target](#) for the time being, with the risk of an extension to the 1.10 area.

The eurozone data calendar is pretty light this week, but focus today will be on ECB comments emerging from a monetary policy conference in Frankfurt. The ECB has a difficult job in terms of talking tough to keep a [lid on inflation](#), while at the same time being expected to step in at some point should the French debt sell-off get out of hand.

In terms of the bigger picture for EUR/USD, the cyclical story looks negative for the coming months. The only surprise positive we can see would be the US mid-term election results prompting some kind of policy response from the White House, which would unnerve a buy-side which is now overweight in dollars.

Chris Turner

➔ CEE: Inflation tests central banks stance

Regional inflation data will take centre stage this week. Turkey's September release is due today; we expect monthly inflation to edge up from 1.8% to 2.0%, while annual inflation falls to 30.0%.

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Despite significant volatility in the rates space last week, regional FX remained relatively stable. Nevertheless, our bearish bias proved justified, and the global narrative has seen little change over the past week. EUR/USD continues to seek new lows, and energy prices remain uncomfortably high. At the same time, despite the collapse in EUR rates, we did not see significant widening of rate differentials.

As we noted on Friday, we favour the Czech koruna within the region; it hit new lows last week, but higher inflation this week should trigger a more hawkish stance from the CNB and shift market pricing. Moreover, the koruna is less tied to the global narrative and should outperform its CEE peers. Conversely, the National Bank of Poland and NBH remain relatively dovish in the global inflationary context, leaving their currencies exposed.

Frantisek Taborsky

📈 **BRL: Surprisingly strong performance for Bolsonaro**

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however, the stronger dollar environment and surging US Treasury yields are creating a more difficult external environment for emerging market currencies than earlier this year.

USD/BRL could open near 5.10, but a move back to the lows of the year at 4.90 looks too aggressive right now. But expect the real to continue outperforming the steep forward curve.

Chris Turner



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